

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Inflation cooled** last month, but the latest numbers may offer less comfort to U.S. businesses, consumers, and Fed policymakers than they otherwise would because tariffs threaten to raise some prices in the months ahead. **A1**
- ◆ **The S&P 500 and Nasdaq** rose 0.5% and 1.2%, respectively, after investors weighed trade skirmishes and the inflation report. The Dow slipped 0.2%. **B11**
- ◆ **Intel named Lip-Bu Tan** as its new chief executive, selecting an outsider to help turn around the beleaguered semiconductor company. **B1**
- ◆ **LVMH named Frédéric Arnault**, son of chairman Bernard Arnault, as the new head of Italian fashion house Loro Piana. **B3**
- ◆ **Zara owner Inditex** reported slower sales growth at the start of its fiscal year at a time of growing competition in the fast-fashion industry. **B2**
- ◆ **Battery maker Northvolt** filed for bankruptcy in Sweden after it failed to secure the financial backing needed to continue operating. **B4**
- ◆ **Cathay Pacific's** annual net profit rose slightly, but the airline flagged the potential threat that trade conflicts pose to supply chains. **B3**
- ◆ **Porsche said it plans** to cut thousands of jobs over the coming years as part of an efficiency drive as it warned of a hit to earnings this year. **B5**
- ◆ **Roche said it would** pay Danish biotech-research company Zealand Pharma up to \$5.3 billion under an agreement to co-develop a weight-loss treatment. **B4**

World-Wide

- ◆ **The EU and Canada** announced retaliatory tariffs against the U.S., further escalating a global trade war after the U.S. imposed levies on steel and aluminum imports. **A4**
- ◆ **A judge said** that Mahmoud Khalil, the Columbia student arrested after he participated in pro-Palestinian demonstrations, will remain in an immigration detention facility in Louisiana for now. **A3**
- ◆ **The EPA took action** to roll back several U.S. environmental policies, including regulations on power plants, the oil-and-gas industry, vehicles and wastewater. **A2**
- ◆ **Greenland's center-right** Demokraatit party won the island's general election as voters chose to rebuff Trump's bid to control their mineral-rich territory. **A7**
- ◆ **Former Philippine** President Rodrigo Duterte was turned over to the custody of the International Criminal Court after his arrest on a warrant accusing him of crimes against humanity. **A7**
- ◆ **A judge blocked** most of a Trump order aimed at punishing Perkins Coie, saying it improperly targeted the law firm based on its clients' political positions. **A3**
- ◆ **Sen. Jeanne Shaheen** of New Hampshire said she wouldn't run for re-election in 2026, placing another obstacle in Democrats' path to recapturing control of the Senate. **A2**
- ◆ **Pakistan's army** ended an insurgent attack that began with the hijacking of a train, saying 21 passengers and four paramilitary personnel were killed in the fighting. **A6**

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Canada, EU Strike Back Against U.S. Levies



NATHAN DENNETT/THE CANADIAN PRESS/ASSOCIATED PRESS

UPPING THE ANTE: Canada's incoming prime minister, Mark Carney, toured the ArcelorMittal Dofasco steel plant in Hamilton, Ontario, on Wednesday, as his country and the EU said they would target U.S. imports, escalating a global trade war. **A4**

CEO Frustrations With Trump Over Trade Mount—in Private

Behind closed doors, business leaders air their concerns about the administration

By CHIP CUTTER
AND LAUREN THOMAS

WASHINGTON—How business leaders talk about the Trump administration in private has been markedly different from what they are game to say in public. The dissonance was on full display here this week.

Early on Tuesday, dozens of corporate executives and oth-

ers assembled at a Yale CEO Caucus not far from the White House just as news emerged that the Trump administration planned to potentially double tariffs on steel and aluminum from Canada.

Those in the room responded with a mix of groans and shocked laughter.

“There was universal revulsion against the Trump economic policies,” said Jeffrey Sonnenfeld, a professor at the Yale School of Management, who organized the invite-only summit that included corporate bosses such as JPMorgan Chase’s Jamie Dimon, billionaire Michael Dell and Pfizer’s Albert

Bourla. “They’re also especially horrified about Canada.”

That sentiment wasn’t apparent hours later, when many of the same chief executives from the Yale event attended a question-and-answer session with President Trump at the Business Roundtable. There, the exchange was largely cordial and executives didn’t ask the president any pointed questions about his tariff strategy, according to people with knowledge of the event.

Some business leaders have cited the need for a stable approach to policy. “Swinging from one extreme to another

is not the right policy approach,” Chevron Chief Executive Mike Wirth said to an energy conference in Houston on Monday. “We have allocated capital that’s out there for decades, and so we really need consistent and durable policy.”

Others have limited their remarks to the costs of tariffs on their industries. Alcoa’s boss said steel tariffs would cost

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- ◆ **China rebukes Walmart** over tariff tactics..... **A4**
- ◆ **Trump prods Irish leader** on trade gap..... **A5**
- ◆ **Aluminum tariffs** to hurt Ford F-150..... **B1**

Inflation Cools Off, But Tariffs Present A Threat

The 2.8% increase in consumer prices last month was lower than expected

By JUSTIN LAHART

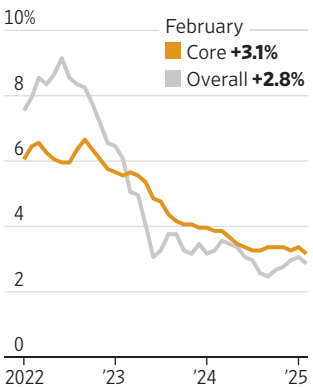
Inflation cooled last month, but the latest data might offer less comfort to U.S. businesses, consumers and Federal Reserve policymakers than it otherwise would because tariffs are threatening to raise some prices in the months ahead.

Consumer prices were up 2.8% in February from a year earlier, the Labor Department reported Wednesday, versus a January gain of 3%. Economists polled by The Wall Street Journal had expected a 2.9% gain.

Prices excluding food and energy categories—the so-called core measure that economists watch in an effort to better capture inflation’s underlying trend—rose 3.1%. That was the lowest year-over-year reading since 2021. It was also lower than the 3.2% economists expected.

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Consumer-price index, change from a year earlier



Note: Core excludes food and energy prices. Source: Labor Department

- ◆ **Heard on the Street:** ‘Liquidationist’ plan?..... **B12**

Europe Gears Up To Resist Russia On Its Own

By DANIEL MICHAELS

About 10,000 NATO troops carried out drills miles from Ukraine’s border in February to test a new quick-reaction force created after Russia’s large-scale invasion of its neighbor. The show of military muscle was unusual for who was absent: the U.S.

Now people in and around the North Atlantic Treaty Organization are wondering whether Europeans could handle more than just an exercise on their own. The U.S.’s commitment to NATO security guarantees is suddenly in doubt, even after the U.S. reinstated military support for Ukraine this week after Kyiv accepted a cease-fire and Moscow signaled it is in no hurry to end hostilities. U.S. diplomatic outreach to Russia and the Trump administration’s frostiness toward Europe raise worries.

That is leading some to ask a once-unthinkable question: If trans-Atlantic ties deteriorate further, could Europe be forced to defend itself against Russia without U.S. support? U.S. military brass and officials who have served across the Atlantic said Europe would pack a strong punch in such a scenario.

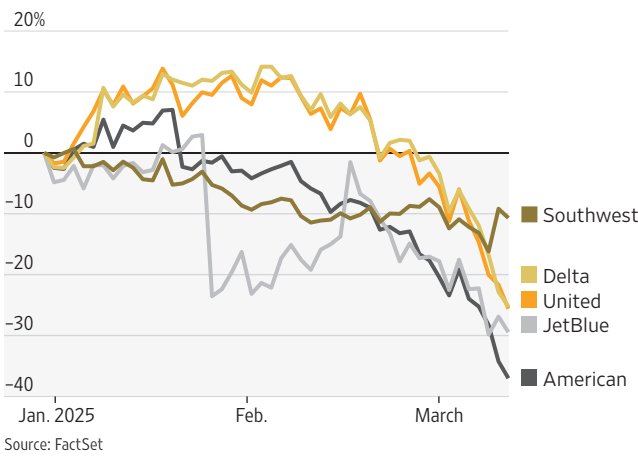
Europe lacks important air-defense and intelligence capabilities. *Please turn to page A6*

- ◆ **Ukraine turns tables** with cease-fire..... **A6**

Recession Fears Hit Airlines

TURBULENCE: Economic uncertainty is taking a toll on airlines, as major carriers warned that demand from travelers and business customers has come under pressure. **B3**

Share-price performance this year



The Travel Agent Who Brokered Peace Between Civil War Rivals

Arab and Black Sudanese have to get along in the Big House, thanks to Nasr Sandel

By NICHOLAS BARIYO

KAMPALA, Uganda—The property manager of a shabby office building in this congested East African capital has achieved what the U.S., U.N. and other well-meaning global powers have not: He has established peace between warring Sudanese factions.

Tens of thousands of people on both sides of Sudan’s brutal two-year civil war have sought safety in Uganda, and hundreds of those refugees have set up businesses in a five-story commercial building in downtown Kampala run by Nasr Al Din Sandel.

Sudanese refugees, divided along ethnic lines, sometimes come to blows in the city’s

streets. But inside the crowded Nyumba Kubwa—Swahili for Big House—Sandel ensures his tenants check their civil war at the door.

He breaks up brawls between Arab Sudanese and their Black rivals, and rescues refugees from both sides when they run into trouble with Ugandan authorities.

A Black Sudanese himself, Sandel says he never holds it against the Arabs that they’ve been accused of attempting to wipe out his people.

“I have never discriminated against anyone based on their tribal affiliations,” the 45-year-old said in his cramped office, where he also runs a travel agency. “We only deal

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Fires Deter L.A.’s Biggest Insurer

State Farm says, ‘Writing new policies doesn’t make any sense at this time’

By KEVIN T. DUGAN

In her pop-art decorated office in Beverly Hills, real-estate broker Rochelle Maize got an early look at who would control the future of Pacific Palisades.

It was eight days after the wildfires broke out—before Los Angeles Mayor Karen Bass had appointed a recovery czar, before rebuilding plans had been drawn. Fires still burned, and the air was putrid with the ashes of thousands of torched homes.

Even then, the power of California’s insurance companies was evident to Maize.

Her clients buy and sell mansions in crown-jewel

neighborhoods where listings bottom out around the single-digit millions. Many pay in cash. But after the Palisades fire, deals in the area kept falling through.

One client wanted to go ahead with a seven-figure purchase, risk be damned, even if he had to be self-insured—meaning he would proceed without a policy.

It’s in a great area, Maize recalled the client saying. *I’m just willing to take the risk.* She thought that was crazy.

The question for Los Angeles isn’t so much how to rebuild the Palisades, a coastal community of around 21,000 people, but who pays

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INSIDE



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SPORTS

Tiger Woods has ruptured his Achilles tendon. Is his golf future in doubt? **A12**

BUSINESS & FINANCE

Starbucks is trying to reinvent itself—again. The latest changes, by the numbers. **B1**